

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | Context: SVH Capital cacao circle on June 26

1. Executive Summary

The convergence is accelerating. Nora (Kopi Bar, Berkeley) is onboarding. More partners are joining. The signal is clear: **the tax-write-off infrastructure in the USA jurisdiction is turning from grey to red.**

Why the tax-write-off facility matters

A tax-deductible donation facility unlocks institutional fundraising channels:

- **Impact funds** — write tax-deductible checks instead of needing equity structures
- **Corporate ESG budgets** — tax write-off + verified carbon offsets = easy budget approval
- **High-net-worth donors** — support rainforest restoration and reduce tax liability
- **Foundation grants** — most foundations can only grant to 501(c)(3) entities

Without it, we can only approach these organizations for equity investments or revenue-share deals — a much harder conversation. With a DUNA + 501(c)(3), we approach them with a **donation pathway**: lower friction, faster decisions, aligned incentives.

Three structural options surfaced at Tech Fest

Option	Jurisdiction	Structure	Best For
DUNA	Wyoming, USA	Decentralized Unincorporated Nonprofit Association	DAO legal wrapper, nonprofit mission, tax-deductible donations
Prospera / DAO LLC	Wyoming, USA	For-profit DAO LLC	Tokenized revenue sharing, profit distributions
Brazilian CNPJ (LTDA)	Brazil	Limited liability company	Local export entity, cacao sourcing

Recommendation: A **three-entity stack** — Wyoming DUNA (DAO wrapper, donation receiver) → TrueTech Inc (US import/distribution) → Brazilian LTDA (export/sourcing).

2. Current State Assessment

Financial Flows (Current)

Brazil Farmers → Matheus (private CNPJ) → Export → TrueTech Inc (DE C-corp) → Gary's personal bank account → DAO treasury

Risks in Current Flow

- **Personal liability (HIGH):** Gary's personal account commingles DAO funds
- **No member liability shield (HIGH):** Token holders could be treated as general partners
- **No tax-advantaged donation pathway (HIGH):** Impact funds, ESG, foundations have no channel
- **Tax reporting complexity (MEDIUM):** C-corp + personal + potential partnership treatment
- **Brazil export compliance (MEDIUM):** Matheus's private entity bears all burden

Current Ledger Snapshot

- Cumulative sales (all time): ~\$15,736 USD
- Monthly run rate (2026): ~\$500-1,100/month trending up
- USD Treasury Balance: ~\$14,622
- AUM: ~\$28,144
- Partners: Nora (Kopi Bar), Kirsten, Matheus, Edge & Node, Shuar Design Boutique, and growing

3. Option Analysis

Option A: Wyoming DUNA

Best for: Nonprofit DAOs, public goods, mission-aligned projects

Dimension	Detail
Liability	Members shielded from personal liability
Tax status	Nonprofit; can apply for 501(c)(3)
Min members	100 (UNA workaround: 2 members)
Profit distribution	■ Not allowed — reinvested in mission
Formation cost	\$100 filing + \$20K-\$60K legal (full-service)
Low-cost alt	OtoCo on-chain UNA: ~\$50 gas, auto-converts to DUNA at 100 members
Annual cost	\$60-\$200 license tax
Time to form	4-8 weeks (full-service); 1 day (OtoCo)

■ **Pros:** Mission alignment, tax-deductible donations, legal recognition of on-chain governance, OtoCo path is near-free

■ **Cons:** No profit distribution to TDG holders, 100-member minimum for DUNA, 501(c)(3) takes 6-12 months

Option B: Wyoming DAO LLC (For-Profit)

Best for: Revenue-generating DAOs, profit distribution to token holders

Dimension	Detail
Liability	Full LLC liability protection
Tax status	Pass-through (default)
Min members	None
Profit distribution	■ Allowed
Formation cost	\$100 filing + \$15K-\$50K legal
Annual cost	\$60-\$200 license tax

■ **Pros:** Profit distribution to TDG holders, no minimum members, lower legal fees

■ **Cons:** ■ Cannot issue tax-deductible receipts — impact funds and foundations have no channel

Option C: Brazilian CNPJ (LTDA)

Best for: Formalizing export operations, Brazilian tax compliance

Dimension	Detail
Formation cost	\$1,000-\$3,000
Annual cost	\$500-\$2,000 (accounting + compliance)
Time to form	4-8 weeks

■ **Pros:** Formalizes Matheus's operations, enables direct farmer contracting

■ **Cons:** Does not solve US tax-deduction problem, requires Brazilian legal representative

Option D: TrueTech Inc Bank Account (Interim)

Cost: \$0-\$500 | **Time:** 1-2 weeks | **Risk reduction:** Stops personal commingling

4. Recommended Structure: Three-Entity Stack

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Wyoming DUNA (DAO Wrapper)

- Legal entity for TrueSight DAO
- Holds governance / IP / brand
- Applies for 501(c)(3) status
- Issues tax-deductible receipts

- Owns carbon credit rights
- Receives donations from impact funds / ESG / HNW



■ Service Agreement / License



TrueTech Inc (Delaware C-corp)

- US import and distribution entity
- Holds inventory, processes payments
- Pays Brazilian suppliers
- For-profit — generates revenue
- Pays DUNA a license fee / service fee



■ Inter-company agreement



Brazilian LTDA (CNPJ)

- Local export entity in Brazil
- Contracts directly with farmers
- Handles Brazilian tax compliance
- Issues NF-e tax receipts

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How Money Flows (Proposed)

Impact Fund / Donor → DUNA (tax-deductible donation, 501(c)(3) receipt issued) → DUNA pays TrueTech Inc for services → TrueTech Inc pays Brazilian LTDA for cacao → LTDA pays Brazilian farmers

Retail customer → agroverse.shop → TrueTech Inc (revenue) → TrueTech Inc pays DUNA license fee → DUNA reinvests in rainforest restoration

Carbon Credit Rights

The DUNA should hold the **carbon credit rights** from trees planted — a future revenue stream aligned with the nonprofit mission, sold to corporate ESG buyers.

5. Cost Analysis

Three Paths Compared

Item	OtoCo UNA (Lean)	Full DUNA (Law Firm)	DAO LLC (For-Profit)
State filing fee	\$0	\$100	\$100
Legal fees	~\$0 (smart contract)	\$20K-\$60K	\$15K-\$50K
Registered agent	\$100-\$200/yr	\$100-\$200/yr	\$100-\$200/yr
Annual license tax	\$60-\$200/yr	\$60-\$200/yr	\$60-\$200/yr
501(c)(3) application	\$2K-\$10K (later)	\$2K-\$10K	N/A
Inter-entity agreement	\$5K-\$15K	\$5K-\$15K	\$5K-\$15K
Brazilian LTDA	\$1K-\$3K	\$1K-\$3K	\$1K-\$3K
Total Year 1	~\$8K-\$28K	~\$28K-\$88K	~\$21K-\$68K

Resource Gap Analysis

Resource	Status
Mission & narrative	■ Strong
On-chain governance	■ Strong
Supply chain ops	■ Strong
Tree-planting pipeline	■ Strong
Partner network	■ Growing
Technical infrastructure	■ Strong
SVH Capital connection	■ Warm intro
Legal counsel	■ Missing
Cash for legal fees	■■ Tight (\$14,622 treasury)
100 DUNA members	■■ Workaround (UNA first)
501(c)(3) expertise	■ Missing
Brazilian lawyer	■ Missing
Dedicated bank account	■ Missing (\$0-\$500 fix)

6. Recommended Action Plan

Phase 1: This Week (~\$50-500)

Action	Cost	Why
Open TrueTech Inc business bank account	\$0-\$500	Stops personal commingling immediately

Action	Cost	Why
Summon OtoCo on-chain UNA (2 wallets sign)	~\$50 gas	Instant legal personhood for the DAO

Phase 2: June 26 — SVH Capital (\$0)

What to ask Stanley:

1. **DUNA formation:** Can you refer us to a Wyoming law firm specializing in DUNA formation for DAOs?
2. **OtoCo viability:** Is the on-chain UNA → DUNA path sufficient for our stage, or do we need full-service counsel?
3. **501(c)(3) pathway:** Realistic timeline and cost for IRS exemption for a tree-planting DAO?
4. **TDG as compensation:** Would referred counsel consider a partial TDG token grant to reduce cash outlay?

Phase 3: Next 1-3 Months (~\$5K-\$15K)

Action	Cost
Engage Wyoming DAO lawyer for inter-entity agreement	\$5K-\$15K
Form Brazilian LTDA (via Matheus's connections)	\$1K-\$3K

Phase 4: When >100 Members (\$0, Automatic)

UNA auto-converts to DUNA via OtoCo smart contract.

Phase 5: 6-12 Months Out (~\$2K-\$10K)

501(c)(3) application via tax attorney — enables tax-deductible donations from impact funds, foundations, ESG.

7. Questions for SVH Capital (June 26)

1. **DUNA formation:** Can you refer us to a Wyoming law firm specializing in DUNA formation for DAOs?
2. **OtoCo viability:** Is the on-chain UNA → DUNA path sufficient at our stage?
3. **501(c)(3) pathway:** Realistic timeline and cost for IRS exemption?
4. **Impact fund compatibility:** What legal structure do impact funds prefer to write checks to?
5. **TDG as compensation:** Would counsel consider a partial TDG token grant?
6. **Carbon credits:** Should the DUNA hold carbon credit rights directly, or a separate SPV?
7. **Brazil-US flow:** Experience with cross-border structures involving Brazilian exports and US nonprofits?

8. Risks and Open Questions

Risk	Mitigation
DUNA cannot distribute profits to TDG holders	TrueTech Inc handles profit activities; DUNA receives service fees
501(c)(3) application denied	Fiscal sponsorship as fallback; operate as tax-paying nonprofit DUNA
Brazilian LTDA compliance burden	Engage Brazilian accounting firm; Matheus may have relationships
US nexus exposes DAO to SEC jurisdiction	DUNA's nonprofit structure + decentralization argument provides defense
Cash for legal fees (\$14K vs \$20K-\$60K)	OtoCo path bypasses this; full-service can wait for impact fund money

9. Summary

Priority	Action	Cost	Timeline
■ Now	Open TrueTech Inc bank account	\$0-\$500	1-2 weeks
■ Now	Summon OtoCo on-chain UNA	~\$50	1 day
■ June 26	Ask SVH Capital for DUNA counsel referrals	\$0	One conversation
■ Next	Engage lawyer for inter-entity agreement	\$5K-\$15K	1-3 months
■ Later	501(c)(3) application	\$2K-\$10K	6-12 months

The **OtoCo UNA path** gets us 80% of the benefit for 1% of the cost. The full-service law firm path is for when impact fund money is flowing.

This proposal is a living document. Update as new information emerges from the SVH Capital conversation on June 26.